

FEDERAL MARITIME COMMISSION

DOCKET NO. 25-03

EUROMARKET DESIGNS INC.

V.

MSC MEDITERRANEAN SHIPPING COMPANY, S.A., ET AL.

**REPLY OF RESPONDENT MSC
MEDITERRANEAN SHIPPING COMPANY, S.A. TO
COMPLAINANT’S OPPOSITION TO MSC’S MOTION FOR PARTIAL DISMISSAL**

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Table of Contents

I.	Introduction And Summary of Argument	1
II.	Argument.....	2
	A. The Applicable Legal Standard	2
	B. EDI’s Allegations of A Failure to Provide Space Are Inadequate.....	3
	C. EDI’s Allegations with Respect to Peak Season Surcharges Are Defective.....	5
	D. EDI’s Allegations with Respect to Demurrage/Detention Charges Are Defective.....	7
III.	Conclusion.....	8

TABLE OF AUTHORITIES

	Page(s)
Cases	
<i>Ashcroft v. Iqbal</i> , 556 U.S. 662, 678 (2009).....	2, 5
<i>Bell Atl. Corp. v. Twombly</i> , 550 U.S. 544, 570 (2007).....	2, 5
<i>Maher Terminals, LLC v. the Port Auth. of New York and New Jersey</i> , Docket No. 12-02, 2015 WL 9426189 (FMC Dec. 18, 2015)	2, 5
<i>MCS Industries, Inc. v. COSCO SHIPPING Lines Co.</i> , FMC Dkt. No. 21-05, 2022 WL 458569 (FMC C.A.L.J. Feb. 4, 2022)	2, 5
<i>New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans</i> , 29 S.R.R. 345 (ALJ 2001), aff’d 29 S.R.R. 1066 (FMC 2002)	2, 4, 6
<i>New Orleans Stevedoring Company v. Federal Maritime Commission</i> , 30 S.R.R. 1066 (D.C. Cir. 2002).....	2
<i>Samsung Electronics America, Inc., Complainant v. Orient Overseas Container Line Limited And OOCL (Europe) Limited</i>	3, 5, 6, 7
Statutes	
46 U.S.C. Section 41102(c)....	4, 5
46 U.S.C. Section 41104(a)(10).....	<i>passim</i>

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DISMISSAL**

Respondent MSC Mediterranean Shipping Company, S.A. (“MSC”), through undersigned counsel, hereby replies to the opposition of Complainant Euromarket Designs Inc. (“EDI” of “Complainant”) to MSC’s motion for partial dismissal.¹

I. Introduction And Summary of Argument

Despite arguments to the contrary in EDI’s opposition (the “Opposition”) to MSC’s motion (the “Motion”), EDI’s complaint (the “Complaint”) fails to allege sufficient facts to meet the required standard of “a plausible claim” of an unreasonable refusal to deal. As an initial matter, EDI misstates the legal standard required to survive a motion for dismissal as defined by the FMC. In addition, the factual allegations in the Complaint and cited in the Opposition are ambiguous and insufficient to permit EDI’s claim of an unreasonable refusal to deal to survive the Motion. Still others are not relevant to a claim under Section 41104(a)(10) because they relate to EDI’s other claims.

¹ Complainant’s opposition also addressed the non-dispositive portions of MSC’s Motion. Since Commission regulations do not contemplate replies to opposition to non-dispositive motions, this Reply is limited to the opposition to the dispositive portion of MSC’s motion.

II. Argument

A. The Applicable Legal Standard

The parties agree that the version of Section 41104(a)(10) in effect prior to June 16, 2022, applies in this proceeding. That statutory provision made it unlawful for a common carrier to “unreasonably refuse to deal or negotiate.” In order to survive a motion to dismiss, EDI must plead “enough facts to state a claim for relief that is plausible on its face.” *Maheer Terminals, LLC v. the Port Auth. of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189, at *12 (FMC Dec. 18, 2015) (quoting *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). Facial plausibility requires factual content that allows a court “to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Id.* (quoting *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009)). EDI’s Complaint fails to meet this standard. Furthermore, as EDI notes in its Opposition, “[t]he focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim.” *MCS Industries, Inc. v. COSCO SHIPPING Lines Co.*, FMC Dkt. No. 21-05, 2022 WL 458569, at *4 (FMC C.A.L.J. Feb. 4, 2022) (“*MCS Industries*”).

The relevant version of Section 41104(a)(10) simply requires that a common carrier must not shut out persons for reasons not related to “legitimate transportation factors.” The Commission has held that:

In interpreting the prohibition against unreasonable refusals to deal, the FMC has stated: The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the OSRA. All that is required is that common carriers . . . refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.

New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans, 29 S.R.R. 345, 351 (ALJ 2001), aff’d 29 S.R.R. 1066 (FMC 2002), aff’d *New Orleans Stevedoring Company v. Federal Maritime Commission*, 30 S.R.R. 1066 (D.C. Cir. 2002).

Moreover, the most recent holding interpreting the current version of Section 41104(a)(10), which includes an element that a common carrier must have unreasonably refused to deal or negotiate, did not interpret this statutory provision as broadly as EDI alleges. Instead, in *Samsung Electronics America, Inc., Complainant v. Orient Overseas Container Line Limited And OOCL (Europe) Limited*, the ALJ concluded that Samsung had failed to plead facts sufficient to sustain the necessary elements of a refusal to deal/negotiate and unreasonableness because “factual material describing [a common carrier’s] vessel-space accommodation practices, or any specific attempts at negotiations or communications that occurred, any specific non-transportation factors that played a role in those discussions, or unreasonable rates that [the carrier] quoted, or any other non-conclusory allegations” were necessary to survive a motion to dismiss. Docket No. 24-17, 2024 WL 4893409, Order Partially Granting Motion to Dismiss (ALJ Nov. 18, 2024)(“*Samsung*”). Despite the application of the earlier version of Section 41104(a)(10) in this proceeding, the *Samsung* holding is relevant because it addresses the degree of specificity necessary to support a common element of the two forms of the statute: an unreasonable refusal to deal or negotiate.

B. EDI’s Allegations of A Failure to Provide Space Are Inadequate

EDI’s Opposition overstates the specificity of the factual allegations contained in the Complaint which, as argued in MSC’s Motion, are insufficient to state a plausible claim of an unreasonable refusal to deal.

EDI asserts that it alleged “in detail” various acts that plausibly state a claim for an unreasonable refusal to deal or negotiate. Opposition at 15. EDI cites to Paragraphs 48 and 49 of its Complaint as a basis for this position. Paragraph 48 is a general incorporation of the prior allegations made in the Complaint. Even if accepted as true, which MSC disputes, the prior allegations incorporated by Paragraph 48 assert failures to fully meet contractual commitments or that Respondent offered to carry Complainant’s cargo in exchange for premium pricing or

surcharges. None of the incorporated allegations even assert directly that the failure to meet the contractual MQC actually stemmed from a refusal by MSC to release space.

Regardless of whether the alleged conduct might provide the basis for a cognizable claim under another section of the Shipping Act, even when read in the light most favorable to EDI, these allegations are insufficient to state a plausible claim of an unreasonable refusal to deal. Paragraph 49 details why Complainant believes the Service Contract Respondents' acts or omissions constitute a failure "to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivery the property of Complainant, in violation of 46 U.S.C. Section 41102(c)...". Separate and apart from whether the claims are plausible, which MSC disputes, on its face, Paragraph 49 relates to a different section of the Shipping Act unrelated to unreasonable refusals to deal under Section 41104(a)(10).

Paragraphs 80 and 81 purport to quote emails from Complainant to MSC requesting more space, neither of which indicate MSC failed to release the requested space. Paragraph 82 purports to cite an internal MSC email about a lack of confirmed/accepted bookings. There is no allegation that the lack of bookings was the result of a failure to provide space on the part of MSC, unreasonable or otherwise.

The Complaint's lack of a plausible allegation of an unreasonable refusal to deal is further belied by EDI's admission in Paragraph 83 of the Complaint that MSC transported 4,494 FEUs of the 4,886 MQC. In light of EDI's confirmation that MSC moved nearly 92% of the MQC under the relevant service contract, its claim should fail under *New Orleans Stevedoring Co.* because MSC did not shut out EDI at any point during the service contract period.² Moreover, EDI does

² EDI also was not shut out after the service contract period as the parties agreed on a 2022-2023 service contract with an even higher MQC (6,764 FEU) under the 2022-2023 service contract, thus showing its full satisfaction with MSC's services. It is worth adding that the commercial relationship has been ongoing until today, which makes the "unreasonable refusal to deal" claim with respect to MSC all the more surprising and confusing.

not allege that it was shut out at any point; EDI only pleads facts that suggest (and which MSC denies) that EDI did not receive all of the cargo space it desired in limited instances (most of which concern cases in which EDI asked for space in excess of its contractual entitlement or in trade lanes not covered by its contract), months apart from one another, and where the supply chain as a whole was overburdened.³

EDI's allegations also fail to rise to the level of specificity required under the pleading standard in *Samsung*. See *Samsung* at 12-13 (requiring "sufficient factual material to establish" each element of a claim under Section 41104(a)(10) such as "specific" details about communications, "non-transportation factors," and/or "factual material describing [the carrier's] vessel-space accommodation practices."). EDI provides no allegations of such specific circumstances in its Complaint. EDI's allegations also fail under the standards outlined in *Twombly*, *Iqbal*, and *MCS Industries*. See *Maheer Terminals*, Docket No. 12-02, 2015 WL 9426189, at *12; *Maheer Industries*, FMC Dkt. No. 21-05, 2022 WL 458569, at *4. Instead, the allegations consist of a few ambiguous allegations that principally relate to other sections of the Shipping Act and that, in any event, do not adequately plead a claim under Section 41104(a)(10) and thus should be dismissed.

C. EDI's Allegations with Respect to Peak Season Surcharges Are Defective

EDI's factual allegations with respect to a Peak Season Surcharge ("PSS"), found in Paragraphs 102 to 104 of the Complaint, are also inadequate to make out a plausible claim of unreasonable refusal to deal for both legal and factual reasons.

As an initial matter, EDI's factual allegations with respect to PSS are legally deficient

³ In Fact Finding 29, the Commission recognized that both the Transpacific and Transatlantic markets experienced "an extreme spike of consumer demand in the United States that overwhelmed the supply of ship capacity" which led to significant price increases for shipping cargo and supply chain challenges. Fact Finding 29 at 44.

because, as noted above, the prohibition against unreasonable refusals to deal as in effect at the time relevant to this proceeding merely required common carriers to refrain from “shutting out” any person for reasons having no relation to legitimate transportation factors. *See New Orleans Stevedoring Co., supra* at 351. Thus, under the version of the law applicable in this proceeding, EDI fails to state a plausible claim that any request for payment of a PSS constitutes an unreasonable refusal to deal.

Even if requesting payment of a PSS could constitute an unreasonable refusal to deal (which it does not), EDI’s factual allegations are insufficient to sustain such a claim. The communication referenced in Paragraph 102 does not, as EDI claims, indicate that MSC was refusing to provide space it had agreed to provide under the service contract. The communication clearly and expressly refers to the provision of “extra space” starting in the following month. Paragraph 103 seeks EDI’s agreement to a PSS, but also indicates that MSC was providing space to EDI, including space that was in excess of EDI’s contractual allocation. Similarly, Paragraph 104 does not support a conclusion that MSC was refusing to provide space under the contract. It merely reflects that MSC could not accept “additional volumes.” Thus, neither Paragraph 103 nor 104 identifies specific facts indicating that MSC was refusing to provide space to EDI.

None of the foregoing factual allegations state a plausible claim for an unreasonable refusal to deal, particularly in light of the volume of cargo MSC moved under its contract with EDI. Moreover, each allegation is deficient because it ignores relevant context and alone does not satisfy the requirement that each element of its claim be pled with specificity under *Samsung*. *See Samsung* at *12-13. Instead, these allegations are a scattershot effort by EDI to piece together a plausible claim based on a small number of inconclusive emails sent months apart. The purported factual allegations simply do not satisfy the necessary pleading standard. As such, the allegations

to which EDI points in support of its claim amount to nothing more than conclusory allegations that should be dismissed.

D. EDI's Allegations with Respect to Demurrage/Detention Charges Are Defective

EDI's allegations with respect to demurrage and detention charges are insufficient to make out a plausible claim of unreasonable refusal to deal for both legal and factual reasons.

Claims for an unreasonable refusal to deal based on demurrage and detention charges have been dismissed in other cases. *See Samsung*. In *Samsung*, the ALJ held that the complainant failed to state a plausible claim of an unreasonable refusal to deal where it failed to allege any facts supporting a failure by the carrier to engage in good faith negotiations or that any such refusal was not based on legitimate transportation factors. *Samsung* at *12. Here, as explained below, EDI's Complaint suffers from the same defect.

Paragraph 128 of the Complaint expresses frustration with the payment process. It is unclear whether this frustration relates to payment for demurrage/detention. More importantly, it is unclear whether any issues with the payment processes actually resulted in the imposition of any demurrage or detention charges. Paragraph 129 suffers from the same defects. Neither paragraph alleges that MSC refused to deal or negotiate.

Paragraph 130 discusses an alleged delay in removing a credit hold. At most, this might state a plausible claim that any demurrage charges attributable to the delay should be considered unreasonable but are not relevant to any claim under Section 41104(a)(10). In any event, a brief delay in removing a credit hold does not constitute an unreasonable refusal to deal or negotiate, particularly in the absence of any allegation that EDI sought a waiver or refund of any charges that may have resulted and/or that MSC refused such a request. Paragraph 131, which deals with detention charges, is totally devoid of any details whatsoever and is legally insufficient on its face.

To the extent that EDI's allegations relate to detention and demurrage, they do not support a claim under Section 41104(a)(10) because they do not allege that EDI was shut out by MSC and do not relate to vessel space accommodations. These allegations are merely generalized frustrations that do not individually (or collectively) amount to a sufficient pleading.

III. Conclusion

For the reasons set forth above, EDI's claim against MSC under Section 411014(a)(10) should be dismissed.

Respectfully submitted,

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Dated: February 25, 2025

CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing Reply was served upon the following via email transmission this 25th day of February, 2025.

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